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Exclusive - Up to ten sponsor swap deals could transact over coming year

Advisers say schemes unlikely to wait for DWP consultation before making a move



Alex Levy

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Image: Consultants predict more Stagecoach-style deals to come ahead of a Department for Work and Pensions consultation

Up to ten Stagecoach-style sponsor swap deals could complete over the coming year with several RFPs already live in the market, PP understands.

Consultants and trustees predict a wave of fresh deals between a pool of large, well-funded defined benefit (DB) schemes and asset managers with strong balance sheets.

It is understood these new arrangements could follow the structure of the December 2025 deal which saw [Aberdeen Group take on the assets and liabilities of the £1.2bn Stagecoach Group Pension Scheme](#).

Dalriada director David Fogarty told *PP* he believed there could be between four and ten sponsor swap deals in the next year – with a number of live RFPs already in the market.

Senior figures and DB specialists from major consultancies agreed there is appetite in the market among a subset of schemes with assets in excess of £500m who are exploring sponsor swap as a potential endgame arrangement.

LCP partner Steve Hodder, who advised Stagecoach on the original transaction, said there are several schemes and providers "actively considering" such deals and he expects up to "a handful" of sponsor swaps to transact in the next year.

He said: "It's always tricky to go first. There's been a huge amount of interest from schemes as to whether this could meet their strategic objectives."

Hymans Robertson partner and head of alternative risk transfer solutions Richard Wellard said the firm was engaged in advising clients considering sponsor swap as an option, and he expects deals numbering in "single digits" in the next year.

Wellard also said there may be around half a dozen asset managers emerging in the market, while Hodder said LCP has had discussions with some "who are thinking quite hard about whether this could work for them".

A range of industry sources have confirmed asset manager interest in this area – with names including Goldman Sachs Asset Management (GSAM) and Schroders among those mentioned to *PP*.

GSAM declined to comment but Schroders confirmed its interest in the area.

Schroders head of DB and Local Government Pension Scheme Ian Biscoe said: "The market continues to evolve and the range of endgame options available to corporate DB Schemes to either settle risk or 'run-on' are expanding.

"Sponsor exchange is one option that has seen increased interest across the industry. This is an area that Schroders has been actively working on with corporate sponsors and trustees, drawing on our investment capabilities in this space and the experience of Schroders' own pension scheme, which is running-on for surplus sharing."

FAA consultation

The Stagecoach deal's "novel use of existing legislation" through the flexible apportionment arrangement (FAA) mechanism has led pensions minister Torsten Bell to announce in June that the government would [consult to ensure regulatory standards and safeguards were keeping pace with market innovation](#).

Hodder said it was possible a consultation could arrive before the end of 2026, but noted this was unlikely to stop schemes moving earlier – pointing to positive signals in the June 2026 statements from [The Pensions Regulator \(TPR\)](#) and the within [Torsten Bell's ministerial statement](#).

He said: "Before the minister's statement and the TPR statements earlier in the year, they would have spent considerable time and energy working out whether they thought this was okay and whether they should instead be saying no, these transactions shouldn't happen. And that's not where they landed."

Hodder stressed the extent of risk management already inherent in such transactions, including trustees' fiduciary duties, oversight from the Financial Conduct Authority (FCA) and TPR, and the original sponsor's responsibility to secure member benefits.

He added: "All I can envisage they might come up with are all things that a well-advised scheme and a well-advised company would do anyway."

Hymans' Wellard agreed – saying the government's intent to consult might naturally cause "a little bit of nervousness", but adding that, if trustees and sponsors are acting in members' best interest, they should "continue to do so confidently".

What does this mean for DB endgame?

Consultants say such sponsor swap deals have become part of the conversation for some schemes.

Hymans Robertson's Wellard said that, while many sponsors and trustees may still ultimately opt for an insurer buyout, they increasingly want to ensure they have considered all the available endgame options – including superfunds and sponsor swaps. He also said schemes now have greater confidence in alternative arrangements.

Ultimately, however, consultants say there will be a limited number of large, very-well funded schemes for whom sponsor swap will be a viable option, and an equally small group of asset managers to take those schemes on.

As Hodder noted, asset managers do not have an unconstrained supply of capital on their balance sheets to take on new schemes, nor would trustees necessarily be confident joining an asset manager that was already sponsoring a number of schemes.

Hymans Robertson's Wellard agreed it would be a more "considered" market. He said: "We're talking about schemes that are very well funded, whose members benefits are fairly well-protected through that high funding level, so there's not a burning platform here for the majority of pension schemes.

"It feels like it's a considered market rather than one that's going to burn very bright and very quickly and then fade out."

At a glance: Aberdeen Stagecoach

On 4 December 2025, [Aberdeen Group announced it had become the sponsoring employer of the Stagecoach Group Pension Scheme \(SGPS\)](#), adding £1.2bn to its balance sheet.

This novel arrangement allowed the scheme to run-on with the same trustees, while the original sponsor settled their liabilities with a clean break from the scheme.

Aberdeen said there was strong alignment with trustees to support investment in productive assets and to further grow surplus, a minority share of which would go to Aberdeen.

Members of the scheme benefitted from an initial pension increase of around 1.5% and better inflation protection. The deal will also offer the prospect of further pension increases in the future.

The deal used a flexible apportionment arrangement (FAA) in an unexpected but compliant way, usually used to transfer a departing employer's DB scheme liabilities to another employer within a multi-employer scheme.

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